

Superior Court of the State of California
County of Orange
TENTATIVE RULINGS FOR DEPARTMENT N16

HON. Donald F. Gaffney

Counsel and Parties Please Note:
Law and Motion in Department N16 is heard
on Wednesdays at 9:00 a.m.

Date: September 9, 2026

Tentative Rulings will be posted on the Internet on the day before the hearing by 5:00 p.m. [or earlier] whenever possible. To submit on the tentative ruling, please contact the clerk at (657) 622-5616, after contacting opposing party/counsel. Prevailing party shall give notice of the Ruling and prepare the Order/Judgment for the Court's signature if required.

NOTE: After posting of tentative rulings, the Court will not take the motion off calendar and will grant a continuance of the motion only upon stipulation of all affected parties.

If no appearances are made on the calendared motion date, then oral argument will be deemed to have been waived and the tentative ruling will become the Court's final ruling.

#	Case Name	Tentative
1	Doe 1 vs. Falck Mobile Health, Corp	TENTATIVE RULING: Defendant Falck Mobile Health Corp.'s demurrer to the Second Amended Complaint is SUSTAINED without leave to amend as to the Second, Fourth, and Fifth Causes of Action, and OVERRULED as to the First and Third Causes of Action. The demurrer based on uncertainty is OVERRULED. Defendant Falck Mobile Health Corp.'s motion to strike is GRANTED without leave to amend as to the punitive-damages allegations in paragraphs 43 and 46 as against Falck and Prayer for Relief Nos. 3, 5, and 6. The motion is MOOT as to paragraphs 53, 75, 77, 78, 81, and 82 in light of the ruling sustaining the demurrer to the Second, Fourth, and Fifth Causes of Action without leave to amend. 1. Demurrer Defendant Falck Mobile Health Corp. ("Falck") demurs to each of the five causes of action asserted in the Second Amended Complaint ("SAC") on the grounds that they fail to state a cause of action and are uncertain.

First Cause of Action for Sexual Abuse of a Minor

California Code of Civil Procedure section 340.1 (“§ 340.1”) governs actions for recovery of damages suffered as a result of childhood sexual assault. Under subdivision (c), “childhood sexual assault” includes specified sexual acts committed against a plaintiff while under the age of 18. (§ 340.1, subd. (c).)

As relevant here, subdivision (a)(2) applies to an action against any person or entity that “owed a duty of care to the plaintiff, if a wrongful or negligent act by that person or entity was a legal cause of the childhood sexual assault that resulted in the injury to the plaintiff.” (§ 340.1, subd. (a)(2).) Thus, as against Falck, Plaintiff must sufficiently allege that (1) Falck owed Plaintiff a duty of care; (2) Falck committed a wrongful or negligent act; (3) Falck’s conduct was a legal cause of the childhood sexual assault; and (4) the assault resulted in injury to Plaintiff. (*Ibid.*)

To state a negligence claim, a plaintiff must allege that the defendant owed a duty of care, breached that duty, and that the breach proximately caused the plaintiff’s injury. (*Brown v. USA Taekwondo* (2021) 11 Cal.5th 204, 213 (“*Brown*”).) Whether a duty exists is a question of law, while breach and causation are generally questions of fact. (*Ibid.*; *Cabral v. Ralphs Grocery Co.* (2011) 51 Cal.4th 764, 769, 772–774.)

Although each person has a duty to act with reasonable care (Civ. Code, § 1714), “ ‘one owes no duty to control the conduct of another, nor to warn those endangered by such conduct.’ [Citation.] ‘A person who has not created a peril is not liable in tort merely for failure to take affirmative action to assist or protect another unless there is some relationship between them which gives rise to a duty to act.’ ” (*Regents of University of California v. Superior Court* (2018) 4 Cal.5th 607, 619.) Such a duty may arise where the defendant has a special relationship with either the person whose conduct must be controlled or the foreseeable victim. (*Ibid.*)

A special relationship with the victim exists where the relationship gives the victim a right to expect protection from the defendant. (*Brown, supra*, 11 Cal.5th at pp. 215–216.) Examples include relationships between parents and children, colleges and students, employers and employees, common carriers and passengers, and innkeepers and guests. (*Id.* at p. 216.) The existence of such a special relationship places the defendant in a unique position to protect the plaintiff from injury, and the law requires the defendant to use that position accordingly. (*Ibid.*)

Here, the SAC alleges, in pertinent part as follows:

Plaintiff was 14 years old when Falck employees transported her injured brother to UCI Medical Center. (SAC ¶ 9.) Plaintiff's mother entrusted Plaintiff to Defendants' care, custody, and supervision because Plaintiff was a minor and could not travel independently. (SAC ¶ 12.) Defendants affirmatively accepted responsibility for Plaintiff's safety and supervision, directed where she was to sit and stand, and exercised authority over her movements. (SAC ¶¶ 13–17.) Plaintiff remained dependent on Defendants for supervision and safe placement, and Defendants retained custody and control over her after arriving at UCI because her mother had not yet arrived. (SAC ¶¶ 15–21.)

While Plaintiff remained under this supervision, the Aggressor directed Plaintiff to stand next to him and, while other medical staff were distracted, pulled Plaintiff toward him and reached under her shirt and bra to grope her breasts. (SAC ¶¶ 22–24.) Falck, through its employees, took custody and control of her and thereby owed her a duty of reasonable care; Falck failed to supervise and protect her while she was under its custody and control; and this failure was a legal and proximate cause of the childhood sexual assault. (SAC ¶¶ 40–42.)

The court finds that the SAC adequately alleges the existence of a special relationship. Specifically, Plaintiff alleges that her mother entrusted her to Defendants' care and supervision; Defendants accepted responsibility for her safety; Plaintiff was dependent upon Defendants and subject to their direction; and Defendants' custody and control continued after arriving at UCI until Plaintiff's mother arrived. (SAC ¶¶ 12–21.) These factual allegations, accepted as true on demurrer, support a reasonable inference that Plaintiff was sufficiently vulnerable and dependent upon Falck and that Falck exercised sufficient control over her to give rise to an affirmative duty of reasonable care.

The court also finds that the SAC sufficiently alleges breach and causation. Plaintiff alleges Falck failed to supervise and protect her while she was under its custody and control and allowed the Aggressor to exercise authority over her without adequate supervision or safeguards, thereby placing her in the circumstances in which the assault occurred. (SAC ¶¶ 41–42, 55–64.) At the pleading stage, these allegations are sufficient to plead that Falck breached its asserted duty and that the breach was a legal cause of Plaintiff's injury.

Falck argues that the alleged sexual assault was a personal criminal act outside the course and scope of the Aggressor's employment and therefore cannot be imputed to Falck under respondeat superior. However, § 340.1 expressly encompasses liability based on an entity's own wrongful or negligent conduct where the entity owed the plaintiff a duty of care and its conduct was a legal cause of the childhood sexual assault. (§ 340.1, subd. (a)(2).) Accordingly, Plaintiff need not establish that the Aggressor's sexual assault itself occurred within the course and scope of his employment to pursue the negligence-based theory alleged under this section. Falck's respondeat superior argument therefore does not dispose of this claim.

Falck also argues that, even assuming a special relationship existed, the SAC alleges no facts showing Falck knew or should have known that the Aggressor posed a risk of sexual misconduct. That argument does not defeat the claim at the pleading stage. Plaintiff's claim is not limited to negligent hiring, retention, or supervision based on Falck's prior knowledge of the Aggressor's propensity for misconduct. Rather, the SAC alleges that Falck itself assumed custody and supervision of a 14-year-old minor, exercised control over her movements, and failed to reasonably protect and supervise her during that period. Whether Falck exercised reasonable care under those circumstances, including whether additional safeguards were required, presents factual issues concerning breach and causation.

The SAC adequately alleges facts supporting a claim under § 340.1, subdivision (a)(2), and is sufficiently certain to permit Falck to respond. Accordingly, the demurrer to the first cause of action is **OVERRULED**.

Second Cause of Action for Sexual Battery

To state a claim for sexual battery, a plaintiff must allege that: (1) the defendant intended to cause harmful or offensive contact with an intimate part of the plaintiff, and sexually offensive contact directly or indirectly resulted; (2) the plaintiff did not consent to the touching; and (3) the plaintiff was harmed or offended by the defendant's conduct. (Civ. Code, § 1708.5; CACI No. 1306.)

An employer may be held vicariously liable for an employee's tort committed within the scope of employment. (*Lisa M. v. Henry Mayo Newhall Memorial Hospital* (1995) 12 Cal.4th 291, 296 ("*Lisa M.*").) For respondeat superior to apply, the employee's tort must be engendered by or arise from the employment; the risk must be

“typical of or broadly incidental to” the employer’s enterprise or a generally foreseeable consequence of the employment. (*Id.* at pp. 298–299.) Although scope of employment is ordinarily a question of fact, it becomes a question of law where the facts are undisputed and no conflicting inferences are possible. (*Id.* at p. 299.) In *Lisa M.*, the Supreme Court held that a hospital was not vicariously liable for an ultrasound technician’s sexual assault of a patient because the employment merely provided the employee with the opportunity, access, and proximity to commit the assault; the assault arose from the employee’s personal motives rather than the performance of his employment duties. (*Id.* at pp. 301–302.)

Alternatively, an employer may be liable for an employee’s intentional tort where the employer subsequently ratifies the unauthorized conduct. (*C.R. v. Tenet Healthcare Corp.* (2009) 169 Cal.App.4th 1094, 1110–1111.) Failure to investigate or respond to allegations of an intentional tort, or failure to discharge the employee, may constitute evidence of ratification, and ratification is generally a question of fact. (*Ibid.*) However, ratification requires conduct from which the employer’s intention to approve or adopt the employee’s wrongful act may reasonably be inferred. (*Ibid.*)

Here, the SAC alleges that the Aggressor intentionally engaged in sexual contact with Plaintiff by pulling her toward him and placing his hand under her shirt and bra to grope her breasts, and that Plaintiff suffered damages as a result. (SAC ¶¶ 22, 48–50.) As to Falck, the SAC alleges that Defendants were agents and employees of one another and acted within the authority granted to them while Plaintiff was under Defendants’ custody and control. (SAC ¶ 52.) It further alleges that, after learning of the assault, Falck failed to take appropriate corrective action, including failing to promptly terminate the Aggressor and failing to implement safeguards to prevent similar misconduct, “thereby ratifying the conduct.” (SAC ¶ 53.)

The SAC sufficiently alleges a sexual battery by the Aggressor, but not a basis for holding Falck liable for that intentional tort. Falck did not allegedly make the offensive contact, and its alleged negligence in failing to protect or supervise Plaintiff does not itself constitute sexual battery. Thus, liability against Falck must rest on respondeat superior or ratification.

The respondeat superior allegations are insufficient. As in *Lisa M.*, the Aggressor’s employment placed him in proximity to Plaintiff and gave him some authority over her movements, but the alleged touching was unrelated to his EMT duties. The SAC itself alleges that he “used [the] opportunity” created when others were distracted

and Plaintiff's guardian was absent to grope her. (SAC ¶ 22.) This suggests the employment merely provided the opportunity for the assault, which is insufficient under *Lisa M.*

Plaintiff's reliance on *Samantha B. v. Aurora Vista Del Mar, LLC* (2022) 77 Cal.App.5th 85 is unpersuasive. There, the employee had prolonged custodial interaction with vulnerable psychiatric patients under circumstances that increased the foreseeable risk of sexual exploitation. (*Id.* at pp. 107–108.) Here, Plaintiff was not being treated by the Aggressor, and the alleged interaction was brief and incidental to her brother's emergency transport. The circumstances are therefore more analogous to *Lisa M.*

Nor do Falck's alleged special relationship and independent duty to protect Plaintiff establish sexual battery liability. Those allegations may support a negligence claim, but they do not show that the Aggressor acted within the scope of employment.

The ratification allegations are also insufficient. The SAC alleges only that Falck did not "promptly" terminate the Aggressor and failed to implement safeguards after the assault. (SAC ¶ 53.) It does not allege facts showing that Falck, through an authorized decisionmaker, approved or adopted the misconduct. The SAC's conclusory allegation that Falck "ratif[ied] the conduct" is insufficient.

Accordingly, the demurrer to the Second Cause of Action is SUSTAINED without leave to amend. This is Plaintiff's third attempt to plead a viable sexual battery claim against Falck, and Plaintiff has not identified additional facts that could cure the deficiencies concerning respondeat superior or ratification.

Third Cause of Action for Negligence

The basic elements of a negligence claim are: (1) a duty on the part of defendant toward plaintiff, (2) breach of that duty, and (3) harm caused by the breach. (*Kesner v. Sup.Ct. (Pneumo Abex, LLC)* (2016) 1 Cal.5th 1132, 1142.)

Generally, one who has not created a peril has no duty to affirmatively act so as to prevent harm to third persons. Absent an applicable statute, the law does not require one to act as a "Good Samaritan." (*Brown v. USA Taekwondo* (2021) 11 Cal.5th 204, 213.) However, the law does impose a legal duty to affirmatively act (to protect someone else from danger or to control the conduct of a third person) if there is a "special relationship" between defendant and the

person in danger or the third person creating the danger. (*Id.*, at p. 215.)

Here, the SAC alleges that Falck, through its employees, assumed custody, supervision, and control over Plaintiff, a 14-year-old minor, during the ambulance transport and hospital transfer. Plaintiff alleges she was dependent on Defendants, subject to their authority and direction, and not free to act independently. (SAC ¶¶ 55–60.) The SAC further alleges this relationship created a duty to protect Plaintiff from foreseeable harm, that Falck breached that duty by failing to supervise and protect her and by placing her in a position where she was vulnerable to the Aggressor, and that this failure was a substantial factor in causing her harm. (SAC ¶¶ 60–65.)

As discussed above, the SAC adequately alleges a special relationship giving rise to an affirmative duty of reasonable care. Falck’s alleged acceptance of responsibility for Plaintiff’s supervision, control over her movement and placement, and continued custody while she was separated from her mother are sufficient, at the pleading stage, to support such a duty.

Falck argues the assault was unforeseeable because the SAC does not allege prior notice of the Aggressor’s propensity for sexual misconduct. However, the negligence claim is based on Falck’s alleged failure to reasonably protect Plaintiff while she was under its custody and supervision. Whether Falck exercised reasonable care, including whether additional supervision or safeguards were required, presents factual questions not properly resolved on demurrer.

Accordingly, the demurrer to the Third Cause of Action is OVERRULED.

Fourth Cause of Action for Negligent Supervision

Generally, an employer may be directly liable for negligently hiring, retaining, or supervising an employee who is incompetent or unfit. (*Phillips v. TLC Plumbing, Inc.* (2009) 172 Cal.App.4th 1133, 1139–1140.) Such liability arises where the employer knew or should have known that the employee presented a particular risk of harm and that risk materialized. (*Id.* at p. 1139.) A duty to third parties therefore arises only where the employee’s misconduct was reasonably foreseeable; i.e., where the employer knew or should have known facts that would warn a reasonable person that the employee posed an undue risk of harm in light of the work to be performed. (*Federico v. Superior Court (Jenry G.)* (1997) 59 Cal.App.4th 1207, 1214; see

also *Doe v. Capital Cities* (1996) 50 Cal.App.4th 1038, 1055 [“cornerstone of a negligent hiring theory is the risk that the employee will act in a certain way and the employee does act in that way”].)

Here, the SAC alleges Falck employed the Aggressor and placed him in a position of authority over Plaintiff, a minor. It further alleges Falck failed to adequately supervise him, implement safeguards to prevent employees from isolating or exploiting minors, and prevent him from exercising unchecked authority over Plaintiff. (SAC ¶¶ 69–74.)

The SAC does not, however, allege facts showing Falck knew or should have known the Aggressor posed a risk of sexual misconduct. There are no allegations of prior complaints, similar misconduct, boundary violations, disciplinary history, or other warning signs that would have placed Falck on actual or constructive notice of such a risk. Absent such facts, the allegations that Falck should have provided greater supervision or additional safeguards are insufficient to state a negligent supervision claim.

Accordingly, the demurrer to the Fourth Cause of Action is SUSTAINED without leave to amend. Plaintiff previously received leave to cure this deficiency, but the SAC still does not allege facts showing Falck knew or should have known the Aggressor posed a relevant risk, and Plaintiff identifies no additional facts that could cure the defect.

Fifth Cause of Action for Intentional Infliction of Emotional Distress (“IIED”)

The elements of IIED are (1) the defendant’s conduct was outrageous, (2) the defendant intended to cause the plaintiff emotional distress or acted with reckless disregard of the probability that the plaintiff would suffer emotional distress, (3) the plaintiff suffered severe emotional distress, and (4) the defendant’s conduct was a substantial factor in causing the plaintiff’s severe emotional distress. (CACI No. 1600.) “A defendant’s conduct is outrageous when it is so extreme as to exceed all bounds of that usually tolerated in a civilized community...[and] intended to inflict injury or engaged in with the realization that injury will result.” (*Hughes v. Pair* (2009) 46 Cal.4th 1035, 1050–1051.)

Here, the SAC alleges Defendants’ conduct was extreme and outrageous because they assumed a custodial role over Plaintiff and failed to protect her. (SAC ¶ 77.) It further alleges Defendants

intended to cause, or recklessly disregarded the probability of causing, severe emotional distress, and that Falck ratified the Aggressor's conduct by failing to promptly terminate him or implement safeguards. (SAC ¶¶ 78–82.)

These allegations are insufficient as to Falck. Its alleged failure to supervise or protect Plaintiff may support negligence, but the SAC does not allege facts showing Falck itself engaged in outrageous conduct or acted with the requisite intent or reckless disregard. The ratification allegations are likewise conclusory and do not show that Falck approved or ratified the assault.

Accordingly, the demurrer to the Fifth Cause of Action is SUSTAINED without leave to amend. Plaintiff has had multiple opportunities to amend and identifies no additional facts showing Falck's own outrageous conduct, the requisite intent or reckless disregard, or sufficient ratification.

Uncertainty

Although certain causes of action fail to state sufficient facts, the SAC adequately apprises Falck of the claims and factual allegations asserted against it. Accordingly, the demurrer based on uncertainty is OVERRULED.

2. Motion To Strike

Falck moves to strike SAC paragraphs 43, 46, 53, 75, 77, 78, 81, and 82, which contain punitive-damages, ratification, and IIED allegations, as well as the prayers for punitive/exemplary damages (Prayer No. 6), attorney's fees (Prayer No. 3), and wages, civil penalties, and statutory penalties (Prayer No. 5).

Punitive Damages

Plaintiff may recover exemplary damages in an action for the breach of an obligation not arising from contract if Plaintiff proves by clear and convincing evidence that defendant is "guilty of oppression, fraud, or malice." (Civ. Code § 3294, subd. (a).) Malice is defined as "conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others." (Civ. Code § 3294, subd. (c)(1).) Oppression is defined as "despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights." (Civ. Code § 3294, subd. (c)(2).) Fraud is defined as "an intentional

misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.” (Civ. Code § 3294, subd. (c)(3).)

Punitive damages cannot be pled in conclusory terms, instead the facts supporting a claim for punitive damages must be set out clearly, concisely, and with particularity. (*Smith v. Superior Court* (1992) 10 Cal.App.4th 1033, 1041-1042.) However, “it has long been recognized that ‘(t)he distinction between conclusions of law and ultimate facts is not at all clear and involves at most a matter of degree.’” (*Perkins v. Superior Court* (1981) 117 Cal.App.3d 1, 6.) “What is important is that the complaint as a whole contain sufficient facts to apprise the defendant of the basis upon which the plaintiff is seeking relief.” (Id.) In ruling on a motion to strike, the Court should “read allegations of a pleading subject to a motion to strike as a whole, all parts in their context, and assume their truth.” (*Clauson v. Superior Court* (1998) 67 Cal.App.4th 1253, 1255; See *Perkins*, 117 Cal.App.3d at 6 [“stricken language must be read not in isolation, but in the context of the facts alleged in the rest of petitioner’s complaint.”].)

“When the defendant is a corporation, ‘[a]n award of punitive damages against a corporation...must rest on the malice of the corporation’s employees.’” (*Wilson v. Southern California Edison Co.* (2015) 234 Cal.App.4th 123, 164 [citing *Cruz v. HomeBase* (2000) 83 Cal.App.4th 160, 167].)

Here, the SAC does not sufficiently allege punitive damages against Falck. Although Falck’s alleged failure to supervise and protect Plaintiff may support negligence, the SAC does not allege facts showing malice, oppression, or conscious disregard of a known danger. Nor does it allege that any Falck officer, director, or managing agent authorized or ratified the Aggressor’s conduct or was personally guilty of oppression, fraud, or malice.

Accordingly, Falck’s motion to strike the punitive-damages allegations is GRANTED without leave to amend as to the punitive-damages allegations in paragraphs 43 and 46 as against Falck and Prayer for Relief No. 6. The motion is MOOT as to paragraphs 53, 75, 77, 78, 81, and 82 in light of the ruling sustaining the demurrer to the Second, Fourth, and Fifth Causes of Action without leave to amend.

		<u>Attorney's Fees and Penalties</u> Plaintiff does not oppose striking Prayer No. 5 for wages, civil penalties, and statutory penalties. Plaintiff also does not oppose striking Prayer No. 3 for attorney's fees as presently pleaded, but requests leave to amend to allege a statutory basis for fees. Plaintiff does not identify any applicable statute or explain how amendment would cure the defect. Accordingly, the motion to strike Prayer Nos. 3 and 5 is GRANTED without leave to amend. Defendant shall file and serve its answer to the remaining causes of action within 30 days of this ruling. Defendant to give notice.
2	Herrera vs. Bodda-Herrera	OFF CALENDAR
3	Mosqueda vs. Ford Motor Company	TENTATIVE RULING: For the reasons set forth below, Defendants Ford Motor Company and Joe Macpherson Ford dba AutoNation Ford Tustin's demurrer to Plaintiffs Giselle Mosqueda and Martha Andrade Lugardo's Complaint is OVERRULED. <u>Statement of Law</u> A demurrer only tests the sufficiency of the pleadings. (<i>See Satyadi v. West Contra Costa Healthcare District</i> (2014) 232 Cal.App.4th 1022, 1028 [in analyzing a demurrer, the court looks only to the face of the pleadings and to matters judicially noticeable and not to the evidence or other extrinsic matters]). In reviewing the propriety of the sustaining of a demurrer, the "court gives the complaint a reasonable interpretation, and treats the demurrer as admitting all material facts properly pleaded. [Citations.] The court does not, however, assume the truth of contentions, deductions or conclusions of law. [Citation.] The judgment must be affirmed 'if any one of the several grounds of demurrer is well taken. [Citations.]" [Citation.] However, it is error for a trial court to sustain a demurrer when the plaintiff has stated a cause of action under any possible legal theory. [Citation.] And it is an abuse of discretion to sustain a demurrer without leave to amend if the plaintiff shows there is a reasonable possibility any defect identified by the defendant can be cured by amendment." (<i>Hale v. Sharp Healthcare</i> (2010) 183 Cal.App.4th 1373, 1379 [citing <i>Aubry v. Tri-City Hospital Dist.</i> (1992) 2 Cal.4th 962, 967]). A court will not consider facts that have not been alleged in the complaint unless they may be reasonably

inferred from the matters alleged or are proper subjects of judicial notice. (*Hall v. Great W. Bank* (1991) 231 Cal.App.3d 713, 718 fn.7.)

Fraudulent Concealment

Defendant Ford demurrers to the second cause of action for fraudulent concealment.

The elements of a cause of action for fraud based on concealment are: “(1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.” (*Jones v. ConocoPhillips Co.* (2011) 198 Cal.App.4th 1187, 1198).

With regards to fraudulent concealment, a complaint need not specify information that is uniquely within defendants’ knowledge. (*Tenet Healthsystem Desert, Inc. v. Blue Cross of Calif.* (2016) 245 Cal.App.4th 821, 840).

Plaintiffs plead the following in their complaint:

FORD’s authorized dealerships are its agents for the purposes of the sale of FORD vehicles to its customers. (Compl., ¶ 112). FORD and its agents intentionally concealed and failed to disclose material facts relating to the defective 10R80 transmission. (Compl., ¶ 113). FORD has never disclosed the 10R80 Transmission Defect to consumers. Instead, from 2017 to the present, FORD has attempted to squelch public recognition of the defect by propagating the falsehood that the harsh and bumpy shifting in 10R80 equipped vehicles was “normal,” through statements made to consumers and the general public by FORD employees, authorized dealers, agents, sales representatives and/or repair technicians, and through TSBs which sought to normalize the poor performance and safety issues, as described herein. (Compl., ¶ 114). FORD actively concealed information from the public, preventing Plaintiff(s) from discovering any of the concealed facts as described in detail above. (Compl., ¶ 115). Plaintiff(s) did not know about the defective 10R80 transmission at the time of sale or lease. (Compl., ¶ 116). FORD intended to deceive Plaintiff(s) by concealing the known issues with the 10R80 transmission in an effort to sell or lease the Subject Vehicle. (Compl., ¶ 118). FORD fraudulently induced Plaintiff(s) to purchase or lease

the Subject Vehicle they would not have entered into but for FORD's concealment of the defective nature of the 10R80 transmission. (Compl., ¶ 119).

Plaintiff(s) were harmed by purchasing or leasing the Subject Vehicle that Plaintiff(s) would not have purchased or leased had Plaintiff(s) known the true facts about the 10R80 defect. Plaintiff(s) also suffered diminution in the value of Plaintiff(s)' vehicle, out-of-pocket expenses, damages in the amount of the difference between the value of the vehicle equipped with the defective transmission and the value of the vehicle if it had been equipped as warranted, and reliance damages. Plaintiff(s) also incurred expenses relating to registration, insurance, and maintenance of the Subject Vehicle. (Compl., ¶ 123).

Specificity

First, Defendant contends that Plaintiffs failed to plead their cause of action with the requisite specificity or particularity, citing to *Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 157, wherein the court held: "The requirement of specificity in a fraud action against a corporation requires the plaintiff to allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written."

However, Plaintiffs need not plead specific information that should be within defendant's knowledge. (See *West v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 780, 793). See also *Jones v. ConocoPhillips Co.* (2011) 198 Cal.App.4th 1187, 1199: "As one court has aptly observed, 'it is harder to apply [the requirement of specificity] to a case of simple nondisclosure. 'How does one show 'how' and 'by what mean' something didn't happen, or 'when' it never happened, or 'where' it never happened.'" ". See also *Dhital v. Nissan North America, Inc.* (2022) 84 Cal. App. 5th 828, 844: "Nissan also contends plaintiffs did not provide specifics about what Nissan should have disclosed. But plaintiffs alleged the CVT transmissions were defective in that they caused such problems as hesitation, shaking, jerking, and failure to function. The SAC also alleged Nissan was aware of the defects as a result of premarket testing and consumer complaints that were made both to NHTSA and to Nissan and its dealers. It is not clear what additional information Nissan believes should have been included... We conclude plaintiffs' fraud claim was adequately pleaded."

Similar to *Dhital*, Plaintiffs here have plead the existence of the 10R80 transmission defect, which causes consumers to experience

the following unexpected manifestations of the defect: abrupt harsh shifting, erratic shifting, jerking (commonly known as “juddering” or “shuddering”), lunging while slowing down, hesitation between gears, lack of acceleration, loss of power, stalling, slipping gears, failure to change gears, clunking or banging noises, and other drivability concerns that impede the driver’s safety, each and all of which prevent a 10R80 equipped vehicle from operating as intended by the driver. (Compl., ¶ 14). Plaintiffs allege that their 2020 Ford Mustang was equipped with a 10R80 transmission and that it was defective. (Compl., ¶¶ 55, 59).

Similar to *Dhital*, Plaintiffs alleged that “FORD was aware that the 10R80 transmission installed in the vehicles was defective and would manifest symptoms as described above when it began receiving consumer complaints from NHSTA and issued Technical Service Bulletins, which are internal memorandums from the manufacturer to its dealerships on how to diagnose and repair recurring problems with a particular line of vehicles.” (Compl. ¶ 17). They allege that “FORD tracks and monitors warranty spending by component part. After failures in pre release testing data, FORD’s knowledge of the defects were enhanced by its regular internal review of warranty spending on repairs for the 10R80 transmission and its component parts that it monitored.” (Compl., ¶ 18).

Defendant Ford contends that these allegations do not establish “nonpublic superior knowledge” because “the Complaint does not plead the contents or results of any particular test, dataset, report, or internal analysis.” (Reply, 5:18-19). This level of information is not required at the pleading stage, particularly where such test results would be within the knowledge of Defendants. As the court held in *Dhital, supra*, allegations that the manufacturer was “aware of the defects as a result of premarket testing and consumer complaints that were made both to the National Highway Traffic Safety Administration and to Nissan and its dealers” were sufficient. (*Dhital, supra*, 84 Cal.App.5th at 844). As the court went on to state: “It is not clear what additional information Nissan believes should have been included.” (*Id.*).

Defendant also contends that Plaintiffs failed to plead intent or reliance. The court finds that Plaintiffs have plead these elements. (See Compl., ¶¶ 113, 118, 123; see also *Mirkin v. Wasserman* (1993) 5 Cal.4th 1082, 1093 “[o]ne need only prove that, had the omitted information been disclosed one would have been aware of it and behaved differently.”)).

Duty to Disclose/Fiduciary Duty

Next, Defendant Ford contends that Plaintiffs fail to plead a direct transactional relationship with Ford to trigger a duty to disclose. In *Bigler-Engler, Inc. v. Breg, Inc.* (2017) 7 Cal.App.5th 276, the court held that: “A duty to disclose facts arises only when the parties are in a relationship that gives rise to the duty, such as ‘seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual arrangement.’” (*Id.* at 311). “[The California] Supreme Court has described the necessary relationship giving rise to a duty to disclose as a ‘transaction’ between the plaintiff and defendant: ‘In *transactions* which do not involve fiduciary or confidential relations, a cause of action for non-disclosure of material facts may arise in at least three instances: (1) the defendant makes representations but does not disclose facts which materially qualify the facts disclosed, or which render his disclosure likely to mislead; (2) the facts are known or accessible only to defendant, and defendant knows they are not known to or reasonably discoverable by the plaintiff; (3) the defendant actively conceals discovery from the plaintiff.’” (*Id.* [italics in original]). “Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.” (*Id.* at 312).

However, in *Bigler-Engler*, no seller and buyer or contractual relationship existed between the plaintiff and manufacturing defendant. (*Bigler-Engler*, 7 Cal.App.5th at 314).

In *Dhital, supra*, the court found that a car buyer need not allege a contract with the manufacturer in order to allege a duty to disclose:

“Nissan argues plaintiffs did not adequately plead the existence of a buyer-seller relationship between the parties, because plaintiffs bought the car from a Nissan dealership (not from Nissan itself). At the pleading stage (and in the absence of a more developed argument by Nissan on this point), we conclude plaintiffs’ allegations are sufficient. Plaintiff alleges that they bought the car from a Nissan dealership, that Nissan backed the car with an express warranty, and that Nissan’s authorized dealerships are its agents for purposes of the sale of Nissan vehicles to consumers. In light of these allegations, we decline to hold plaintiffs’ claim is barred on the ground there was no relationship requiring Nissan to disclose known defects.” (*Id.* at 844).

Similarly, here, Plaintiffs allege that they entered into a warranty agreement with Ford, and that Ford’s authorized dealerships are its

agents for the purposes of the sale of Ford vehicles to its customers. (Compl., ¶¶ 6, 112).

The court finds Plaintiffs' allegations to be sufficient.

Finally, it is unclear whether Defendant Ford is also demurring on the basis that the second cause of action is barred by the statute of limitations.

In Defendant's demurrer, Defendant Ford sets forth that the "Second Cause of Action for Fraudulent Inducement... fails to state facts sufficient to constitute a cause of action against Ford pursuant to Code of Civil Procedure section 430.10(e) because Plaintiffs failed to plead fraudulent concealment with sufficient particularity, and because Plaintiffs' conclusory allegations of delayed discovery and class-action tolling do not suffice to salvage an otherwise defective fraud claim." (See Demurrer, 2:6-11 [emphasis added]).

However, there is no reference to the applicable statute of limitations for this claim, or any discussion as to when the statute commenced or would have run.

Nevertheless, to the extent Defendants demurrer on this basis, the court finds that Plaintiffs' tolling allegations are sufficient. (See Compl., ¶ 70).

Accordingly, the demurrer is overruled as to this cause of action.

Negligent Repair

Next, Defendant Joe Macpherson Ford contends that the cause of action for negligent repair fails to state a cause of action. (See *Burgess v. Superior Court* (1992) 2 Cal.4th 1064, 1072 [elements of negligence]).

Defendant contends that Plaintiffs cannot state a cause of action for fraud pursuant to the economic loss rule. The economic loss rule "precludes recovery for purely economic loss due to disappointed expectations, unless the plaintiff can demonstrate harm above and beyond a broken contractual promise. Conduct amounting to a breach of contract becomes tortious only when it also violates a duty independent of the contract arising from principles of tort law." (*Robinson Helicopter Co. v. Dana Corp.* (2004) 34 Cal.4th 979, 988-989).

However, “California decisional law has long recognized that the economic loss rule does not necessarily bar recovery in tort for damage that a defective product (e.g., a window) causes to other portions of a larger product (e.g., a house) into which the former has been incorporated.” (*Jimenez v. Superior Court* (2002) 29 Cal.4th 473, 483.) Furthermore, a negligent failure to perform services competently may constitute both a breach of contract and a tort. (*North American Chemical Co. v. Superior Court* (1997) 59 Cal.App.4th 764, 774).

Plaintiffs cite to numerous federal district courts that have incorporated this analysis (See, for example, *Sabicer v. Ford Motor Company* (C.D. Cal. 2019) 362 F.Supp.3d 837, 840-842 [finding that economic loss rule would not bar recovery in tort for damage that subcomponents of an engine cause to the engine as a whole or for damage that the engine caused to the vehicle in which it has been incorporated and that Defendants failed to show the economic loss rule entirely precludes Plaintiffs’ negligent repair claim]; see also *Viveros v. Ford Motor Company* (S. D. Cal. 2021) 2021 WL 5989365 at *8 [“[T]his Court is persuaded by the ‘growing body of case law recognizing that local dealerships can be liable to plaintiffs who assert negligent repair claims.’”]).

Defendants contend that these cases have no application here because they are decisions discussing federal remand. However, the court in *Sabicer* cited to *Jimenez, supra*, when finding that “[t]he economic loss rule would not bar recovery in tort for damage that these subcomponents cause to the engine as a whole or for damage that the engine caused to the Vehicle in which it has been incorporated.” (*Sabicer, supra*, 362 F.Supp.3d at 841). The court finds this to be persuasive.

Plaintiffs allege the following in their Complaint:

On or around September 6, 2024, Plaintiff(s) delivered the Subject Vehicle to AutoNation Ford Tustin, an authorized Ford repair facility, for repair. Plaintiff(s) complained that the Subject Vehicle has a hard shift primarily in gears 1-3 during normal acceleration, and especially in sport mode. The repair facility technicians road tested the Subject Vehicle. After 6 days at the repair facility, the Subject Vehicle was returned to Plaintiff(s). The service technician represented to Plaintiff(s) that the Subject Vehicle had been repaired and was safe to drive. Plaintiff(s) reasonably relied on this representation by the service technician at the authorized Ford repair facility.

(Compl., ¶ 60).

On or around October 4, 2025, Plaintiff(s) delivered the Subject Vehicle to Villa Ford of Orange, an authorized Ford repair facility, for repair. Plaintiff(s) complained that the Subject Vehicle's transmission exhibited hard engagement, delayed shifting characterized by an inability to select the correct gear, followed by harsh gear engagement, and associated abnormal noises. The repair facility technicians road tested the vehicle and verified the concern, they then inspected the Subject Vehicle, revealing a burnt transmission fluid odor. After performing TSB-guided procedures and additional pinpoint testing, the concern persisted. The transmission was removed and disassembled, revealing significant internal damage, including burnt clutch materials, metal debris contamination, damaged cylinder support splines, scoring on internal components, and sticking valves within the valve body.

(Compl., ¶ 61).

The court finds these allegations sufficient at the pleading stage.

Accordingly, the demurrer is OVERRULED.

Motion To Strike

For the reasons set forth below, Defendant Ford Motor Company's motion to strike is DENIED.

A court may strike out any irrelevant, false, or improper matter inserted in any pleading or strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (Code Civ. Proc., § 436.)

"Irrelevant" matters include: allegations not essential to the claim, allegations neither pertinent to nor supported by an otherwise sufficient claim, or a demand for judgment requesting relief not supported by the allegations of the complaint. (Code Civ. Proc., § 431.10, subd. (b).) A motion to strike also may strike legal conclusions. (Weil & Brown, Cal. Prac. Guide, Civil Proc. Before Trial, ¶ 7:179 (2010).) Conclusory allegations are permitted, however, if they are supported by other factual allegations in the complaint. (*Perkins v. Superior Court* (1981) 117 Cal.App.3d 1, 6.)

Defendant moves to strike punitive damages from the second cause of action for fraudulent inducement on the basis that this case of action is insufficiently plead, and because Plaintiffs allege no facts showing authorization or ratification by corporate leaders.

Civ. Code § 3294, subd. (b) provides, in part: “With respect to a corporate employer, the advance knowledge and conscious disregard, authorization, ratification or act of oppression, fraud, or malice must be on the part of an officer, director, or managing agent of the corporation.”

According to Civ. Code § 3294 (c)(1), (2) and (3):

(1) “Malice” means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.

(2) “Oppression” means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights.

(3) “Fraud” means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.

As explained in the demurrer analysis, Plaintiffs sufficiently plead the second cause of action for fraudulent concealment.

With regards to Defendant’s argument regarding ratification/authorization by corporate leaders, Defendant contends that Plaintiffs’ Complaint alleges no officer, director, or managing agent of Ford who committed the alleged conduct, no facts showing authorization or ratification by Ford’s corporate leadership, and no facts demonstrating advance knowledge or conscious disregard by any Ford managing agent.

Here, Plaintiffs have alleged that “[a]ll acts of corporate employees as alleged were authorized or ratified by an officer, director or managing agent of the corporate employer.” (Compl., ¶ 8). Plaintiffs also alleged Ford’s exclusive knowledge of the defects through premarket testing and consumer complaints, and failure to disclose, as discussed above. (Compl., ¶¶ 16-18).

In support of its contention that this is insufficient, Defendant cites to *Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153. However, this case discussed the dismissal of a fraudulent

		representation cause of action. (<i>Id.</i> at 157). As discussed above, the specificity requirements of pleading “the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written” (<i>Id.</i> at 157) do not apply to concealment causes of action. Defendant also relies on <i>White v. Ultramar, Inc.</i> (1999) 21 Cal.4th 563, 566–567, 573. However, this case discussed the appeal of a judgment following a jury trial, and did not discuss pleading requirements for Civ. Code §3294, subd. (b). At the pleading stage, the complaint may rely on ultimate facts. (<i>Spinks v. Equity Residential Briarwood Apartments</i> (2009) 171 Cal.App.4th 1004, 1055.) Accordingly, the court denies the motion to strike. Plaintiffs shall give notice of both rulings.
4	Wheelock vs. Anaheim Regional Medical Center	OFF CALENDAR
5	Castilla vs. Southland Credit Union	CONTINUED TO 12/16/26
6	Garcia-Rodea vs. General Motors LLC	TENTATIVE RULING: For the reasons set forth below, Plaintiff Daniel Garcia-Rodea’s motion for attorney’s fees, is DENIED, without prejudice, and Defendant General Motors, LLC’s motion to tax/strike costs is DENIED. Plaintiff is awarded \$2,110.03 in costs. <u>Pending Motions</u> Plaintiff moves for attorneys’ fees, expenses, and costs award of \$32,915.03, consisting of \$30,805 in fees incurred, \$2,110.03 in costs and expenses. Defendant also moves to tax/strike Plaintiff’s costs/expenses. The court first addresses Plaintiff’s fee award and then addresses Defendant’s motion to tax/strike costs and Plaintiff’s cost award.

Plaintiff's Motion for Attorneys' Fees

A. Standard on Motions for Attorney's Fees

Plaintiff moves for attorneys' fees, expenses, and costs award of \$32,915.03, consisting of \$30,805 in fees incurred and \$2,110.03 in costs and expenses.

On a motion for attorney's fees, the moving party has the burden of: (1) establishing entitlement to an award, and (2) documenting the appropriate hours expended and hourly rates. (*ComputerXpress, Inc. v. Jackson* (2001) 93 Cal.App.4th 993, 1020.)

The Song-Beverly Act provides for the recovery of attorney's fees, costs, and expenses. (Civ. Code, § 1794(d).) Courts use the lodestar adjustment method to determine the amount of attorney's fees to award in Song-Beverly actions. (*Reynolds v. Ford Motor Co.* (2020) 47 Cal.App.5th 1105, 1112.) "[T]he lodestar is the basic fee for comparable legal services in the community." (*Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1132.) It is "based on the 'careful compilation of the time spent and reasonable hourly compensation of each attorney . . . involved in the presentation of the case.' [Citation.] [The California Supreme Court] expressly approved the use of prevailing hourly rates as a basis for the lodestar... In referring to 'reasonable' compensation, [the Court] indicated that trial courts must carefully review attorney documentation of hours expended; 'padding' in the form of inefficient or duplicative efforts is not subject to compensation. (*Id.* at 1131-1132.)

When determining a reasonable attorneys' fees award using the lodestar method, the court begins by deciding the reasonable hours the prevailing party's attorney spent on the case and multiplies that number by the reasonable hourly compensation of each attorney. (*Doppes v. Bentley Motors, Inc.* (2009) 174 Cal.App.4th 967, 998; see also *Environmental Protection Info. Ctr. v. California Dep't of Forestry & Fire Protection* (2010) 190 Cal.App.4th 217, 248.) "The reasonable hourly rate is that prevailing in the community for similar work." (*PLCM Group v. Drexler* (2000) 22 Cal.4th 1084, 1095.) The court may rely on personal knowledge and familiarity with the legal market in setting a reasonable hourly rate. (*Heritage Pac. Fin., LLC v. Monroy* (2013) 215 Cal.App.4th 972, 1009; *569 E. County Boulevard LLC v. Backcountry Against the Dump, Inc.* (2016) 6 Cal. App. 5th 426, 437.)

The court then has the discretion to increase or decrease the lodestar figure by applying a positive or negative multiplier; "such an

	adjustment is commonly referred to as a ‘fee enhancement’ or ‘multiplier.’ [Citation.]” (<i>Mikhaeilpoor v. BMW of North America, LLC</i> (2020) 48 Cal.App.5th 240, 247 (“Mikhaeilpoor”).) The lodestar may be adjusted based on factors which include the novelty and difficulty of issues presented, complexity of the case, the attorney’s skills, the results achieved, and the extent to which taking the case on a contingent fee basis has precluded the attorney from taking other fee-generating work. (<i>Ketchum</i>, 24 Cal.4th at 1132-1134; <i>Mikhaeilpoor</i>, 48 Cal.App.5th at 247.) “The purpose of [the] adjustment is to fix a fee at the fair market value for the particular action. In effect, the court determines, retrospectively, whether the litigation involved a contingent risk or required extraordinary legal skill justifying augmentation of the unadorned lodestar in order to approximate the fair market rate for such services.” (<i>Ketchum</i>, 24 Cal.4th at 1132.) The court is not required to impose a multiplier; the decision is discretionary. (<i>Mikhaeilpoor</i>, 48 Cal.App.5th at 247; <i>Galbisio</i>, 167 Cal.App.4th at 1089; <i>Nichols v. City of Taft</i> (2007) 155 Cal.App.4th 1233, 1241.) “‘[T]he lodestar method vests the trial court with the discretion to decide which of the hours expended by the attorneys were ‘reasonably spent’ on the litigation’ [Citation] and to determine the hourly rates that should be used in the lodestar calculus. [Citation.]” (<i>Mikhaeilpoor</i>, 48 Cal.App.5th at 246-247.) “The experienced trial judge is the best judge of the value of professional services rendered in his court [Citation.]” (<i>Ketchum</i>, 24 Cal.4th at 1132.) Here, it is undisputed Plaintiff is the prevailing party over Defendant GM and that Plaintiff is entitled to recover attorney’s fees pursuant to the Song-Beverly Consumer Warranty Act. Plaintiff submits time records detailing the work performed, amount of time billed, date, and timekeeper. The records show 78 hours of work by non-attorneys, paralegals, and attorneys totaling \$30,805 in attorney’s fees. (Ex. A.) The court notes, however, that the exhibits filed with the court do not actually contain a declaration authenticating any of these records. (See ROA #253). The court finds that the moving papers do not contain admissible evidence establishing Plaintiff’s reasonable rates or reasonable hours expended. Authentication of a writing is required before it may be admitted in evidence. (<i>People v. Goldsmith</i> (2014) 59 Cal.4th 258, 266). Authentication requires a person with personal knowledge to lay sufficient foundation “for a trier of fact to find that the writing is what it purports to be, i.e., that it is genuine for the purpose offered.” (<i>Id.</i> at 267). Plaintiff’s moving papers fail to meet this standard.
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Plaintiff attempts to cure this defect by providing a declaration in Plaintiff's reply papers for the first time. The general rule of motion practice, which applies here, is that new evidence is not permitted with reply papers. (*Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1537). While the court has discretion to consider new evidence on reply, the inclusion "of additional evidentiary matter with the reply should only be allowed in the exceptional case ..." (*Id.*)

Here, the court does not find that exceptional circumstances exist to consider Plaintiff's new evidence on reply. A notice of settlement was filed on August 7, 2025—over one year ago. The actual settlement was accepted on July 24, 2025. (Opp. Bowton Decl., ¶ 9). Plaintiff has had ample time to prepare and file a motion for attorneys' fees, but did not do so for nearly a year. Further, Plaintiff filed its motion on May 18, 2026. Plaintiff had ample time before the September 9, 2026, hearing on the motion to file a notice of errata and/or correct any defects in the moving papers with sufficient time to give Defendant the requisite 16 court day notice and before Defendant filed an opposition. Plaintiff, however, did not do so.

Waiting until the eleventh hour to correct and offer admissible evidence to support its motion does not constitute an exceptional circumstance. Because Plaintiff bore the burden, as the moving party, of establishing its fees, but failed to authenticate the time records or offer admissible evidence of the reasonable hourly rates or reasonable hours expended, the motion is DENIED, without prejudice.

Defendant's Motion to Tax Costs

On May 18, 2026, Plaintiff filed a memorandum of costs, seeking costs totaling \$2,110.03. Defendant GM seeks to tax/strike costs in its entirety and/or, in the alternative, \$973.85 in costs.

In general, the prevailing party is entitled as a matter of right to recover costs for suit in any action or proceeding. Cal. Civ. Proc. Code §1032(b); *Santisas v. Goodin* (1998) 17 Cal.4th 599, 606; *Scott Co. Of Calif. v. Blount, Inc.* (1999) 20 Cal.4th 1103, 1108. The term prevailing party is defined by statute to include: The party with a net monetary recovery; a defendant who is dismissed from the action; a defendant where neither plaintiff nor defendant recovers anything; and a defendant as against those plaintiffs who do not recover any relief against that defendant. Cal. Civ. Proc. Code § 1032(a)(4).

Allowable costs under section 1033.5 must be reasonably necessary to the conduct of the litigation, rather than merely convenient or

beneficial to its preparation, and must be reasonable in amount. Cal. Civ. Proc. Code §1033.5. An item not specifically allowable under § 1033.5(a) nor prohibited under subdivision (b) may nevertheless be recoverable in the discretion of the court if they meet the above requirements (i.e., reasonably necessary and reasonable in amount). *Ladas v. California State Automotive Assoc.* (1993) 19 Cal.App.4th 761, 773-774.

If the items appearing in a cost bill appear to be proper charges, the burden is on the party seeking to tax costs to show that they were not reasonable or necessary. *Id.* at 773-774. On the other hand, if the items are properly objected to, they are put in issue and the burden of proof is on the party claiming them as costs. *Id.*

Separate and apart from section 1033.5, Civil Code section 1794, subdivision (d), provides: “If the buyer prevails in an action under this section, the buyer shall be allowed by the court to recover as part of the judgment a sum equal to the aggregate amount of costs and expenses, including attorney's fees based on actual time expended, determined by the court to have been reasonably incurred by the buyer in connection with the commencement and prosecution of such action.” (Cal. Civ. Code 1794(d); see also *Nightingale v. Hyundai Motor America* (1994) 31 Cal.App.4th 99, 103–104.)

“Section 1794, subdivision (d), permits the prevailing buyer to recover both ‘costs’ and ‘expenses.’” (*Jensen v. BMW of North America, Inc.* (1995) 35 Cal.App.4th 112, 137.) “Examining the language of the statute... (the Legislature intended the word ‘expenses’ to cover items not included in the detailed statutory definition of ‘costs...’ under Code of Civil Procedure section 1033.5. (*Id.*)

Specifically, the Legislature added the “costs and expenses” language to section 1794 in 1978. (*Id.* at 138.) An analysis by the Assembly Committee on Labor, Employment, and Consumer Affairs states: “Indigent consumers are often discouraged from seeking legal redress due to court costs. The addition of awards of 'costs and expenses' by the court to the consumer to cover such out-of-pocket expenses as filing fees, expert witness fees, marshall's fees, etc., should open the litigation process to everyone.” (*Id.*, citing Assem. Com. on Labor, Employment & Consumer Affairs, Analysis of Assem. Bill No. 3374 (May 24, 1978) p. 2.; see also *Warren v. Kia Motors America, Inc.* (2018) 30 Cal.App.5th 24, 42-43 (in enacting provision of the Song-Beverly Consumer Warranty Act governing award of costs, legislature intended the phrase costs and expenses to cover items not included in the detailed statutory definition of “costs.”)

		Here, Defendant argues that the court should essentially strike all costs or, alternatively, \$973.85 in costs. According to Defendant, Plaintiffs' costs are without merit, are unreasonable, unsupported, and/or unnecessary. Specifically, Defendant objects to costs related to electronic fees, service of process fees, filing fees and jury fees. Defendant in its moving papers, however, completely ignores that Plaintiff has a broader and more expansive avenue of recovering costs than section 1033.5. Defendant's arguments are based on the standard set forth in section 1033.5 and not section 1794. Specifically, Defendant argues that costs are not recoverable because the costs are not reasonably necessary for the conduct of litigation. The correct standard here is civil code 1794, which contemplates a broader recovery for costs and expenses for consumers than those statutorily allowed. The court has reviewed Plaintiffs' cost items and finds that Plaintiffs' requests for costs related to electronic fees, service of process fees, filing fees and jury fees, to which Defendant objects, are reasonable and awardable under section 1794 and/or 1033.5. As such, Defendant's motion is DENIED. Plaintiff is awarded \$2,110.03 in costs. Plaintiff to give notice.
7	Josh Zwagil as trustee for the JZ Marketing Holdings Irrevocable Trust Dated May 29, 2018 vs. Capstone Financial Partners, LLC	TENTATIVE RULING: For the reasons set forth below, Defendant Tracy Grove's motion to dismiss, with prejudice, Plaintiffs' First Amended Complaint as to her is GRANTED. The dismissal without prejudice entered on August 26, 2026, is VACATED. Defendant's request for judicial notice of Exhibits 1 through 4 is GRANTED. (Evid. Code, § 452, subd. (d).) Defendant moves for an order dismissing, with prejudice, the First Amended Complaint ("FAC") as to her pursuant to Code of Civil Procedure section 581, subdivision (f). Under Code of Civil Procedure section 581, subdivision (f)(2), the Court may dismiss an action as to a defendant after a demurrer is sustained with leave to amend and the plaintiff fails to amend within the time allowed.

		When a demurrer is sustained with leave to amend, the plaintiff retains the right to voluntarily dismiss without prejudice only until the time to amend expires. (<i>Wells v. Marina City Properties, Inc.</i> (1981) 29 Cal.3d 781, 789; <i>Parsons v. Umansky</i> (1994) 28 Cal.App.4th 867.) A plaintiff's right to voluntarily dismiss is also terminated once a demurrer is sustained without leave to amend, even if judgment has not yet been entered. (<i>Gutkin v. University of Southern California</i> (2002) 101 Cal.App.4th 967, 974.) Here, on March 4, 2026, the Court sustained Defendant's demurrer to the Fourth Cause of Action with leave to amend and sustained the demurrer to the Sixth Cause of Action without leave to amend. (RJN, Ex. 3.) Plaintiffs' deadline to file a Second Amended Complaint was subsequently extended to May 7, 2026. (RJN, Ex. 4.) Plaintiffs did not amend by that deadline. Defendant thereafter filed the present motion to dismiss on May 15, 2026. On August 26, 2026, more than three months after the amendment deadline expired, Plaintiffs filed a request for dismissal of Defendant without prejudice, which the clerk entered. By that time, however, Plaintiffs' right to voluntarily dismiss without prejudice had already terminated. Accordingly, the dismissal without prejudice entered on August 26, 2026, is VACATED, and Defendant's motion to dismiss with prejudice is GRANTED. Defendant to give notice.
8	LCY Partnership vs. Rainbow Auto Collision, Inc.	OFF CALENDAR
9	Rose vs. 1	CONTINUED TO 12/16/26
10	Murillo vs. Ultra Personnel, LLC	TENTATIVE RULING: Defendants Ultra Personnel, LLC, and INX Prints, Inc. move for summary judgment on the Complaint of Plaintiff Irma Murillo, or in the alternative, summary adjudication on each cause of action therein. For the following reasons, the unopposed motion for summary judgment is GRANTED.

Statement of Law

A party may move for summary judgment where the moving party contends the action has no merit or that there is no defense to the action or proceeding. (*See* Code Civ. Proc., § 437c(a)(1).)

A “party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact” (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.) “A prima facie showing is one that is sufficient to support the position of the party in question.” (*Id.* at p. 851.) A defendant moving for summary judgment or summary adjudication satisfies his or her initial burden by showing that one or more elements of the cause of action cannot be established or that there is a complete defense to the cause of action. (Code Civ. Proc., § 437c(p)(2).) The scope of this burden is determined by the allegations of the plaintiff’s complaint. (*FPI Development, Inc. v. Nakashima* (1991) 231 Cal.App.3d 367, 381–82 [pleadings serve as the outer measure of materiality in a summary judgment motion]; *580 Folsom Associates v. Prometheus Development Co.* (1990) 223 Cal.App.3d 1, 18–19 [respondent only required to defeat allegations reasonably contained in the complaint].) A cause of action “cannot be established” if the undisputed facts presented by the defendant prove the contrary of the plaintiff’s allegations as a matter of law. (*Brantley v. Pisaro* (1996) 42 Cal.App.4th 1591, 1597.)

Once the moving party meets that burden, the burden shifts to the party opposing summary judgment or summary adjudication to show, by reference to specific facts, the existence of a triable issue as to an affirmative defense or cause of action. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 855; *Villacres v. ABM Industries, Inc.* (2010) 189 Cal.App.4th 562, 575.) The opposing party must present substantial and admissible evidence creating a triable issue. (*Sangster v. Paetkau* (1998) 68 Cal.App.4th 151, 163.)

In ruling on a motion for summary judgment or summary adjudication, the court must “consider all of the evidence” and all of the “inferences” reasonably drawn therefrom [citing Code Civ. Proc., § 437c(c)] and must view the evidence and inferences “in the light most favorable to the opposing party.” (*Aguilar, supra*, 25 Cal.4th at p. 843.) A court may not make credibility determinations or weigh the evidence on a motion for summary judgment or adjudication, and all evidentiary conflicts are to be resolved against the moving party. (*McCabe v. American Honda Motor Corp.* (2002) 100 Cal.App.4th 1111, 1119.) The moving party’s papers are to be strictly construed,

while the opposing party's papers are to be liberally construed. (*Committee to Save Beverly Highland Homes Ass'n v. Beverly Highland* (2001) 92 Cal.App.4th 1247, 1260.)

First Cause of Action (Gender Discrimination) and Third Cause of Action (FEHA-Retaliation)

The first cause of action alleges Defendants Ultra Personnel and INX Prints discriminated against Plaintiff on the basis of gender, sexual orientation and/or gender expression by terminating her employment. (*See* Compl. ¶¶ 13, 14, 24.) The third cause of action alleges Defendants retaliated against Plaintiff based on her complaining of sexual harassment. (*See* Compl. ¶¶ 12, 14, 36.)

California has adopted the three-stage burden-shifting test established by the United States Supreme Court for trying discrimination claims. (*Guz v. Bechtel* (2000) 24 Cal.4th 326, 354.) At trial, the so-called *McDonnell Douglas* test places on the plaintiff the initial burden to establish a prima facie case of discrimination. (*Ibid.*) If, at trial, the plaintiff establishes a prima facie case, a presumption of discrimination arises. (*Id.* at p. 355.) At this trial stage, the burden shifts to the employer to rebut the presumption by producing admissible evidence, sufficient to raise a genuine issue of fact and to justify a judgment for the employer, that its action was taken for legitimate, nondiscriminatory reason. (*Id.* at pp. 355-356.) If the employer sustains this burden, the presumption of discrimination disappears, and the plaintiff then must have the opportunity to attack the employer's proffered reasons as pretexts for discrimination or to offer any other evidence of discriminatory motive. (*Id.* at p. 356.)

The *McDonnell Douglas* test was originally developed for use at trial, not in summary judgment proceedings. (*Arteaga v. Brinks, Inc.* (2008) 163 Cal.App.4th 327, 343-344.) A defendant employer's motion for summary judgment slightly modifies the order of these showings. (*Kelly v. Stamps.com Inc.* (2005) 135 Cal.App.4th 1088, 1097.) If, as here, the summary judgment motion relies in whole or in part on a showing of nondiscriminatory reasons for the adverse employment action, the employer satisfies its burden as moving party if it presents evidence of such nondiscriminatory reasons that would permit a trier of fact to find, more likely than not, that they were the basis for the adverse employment action. (*Id.* at pp. 1097-1098.) To defeat the motion, the employee then must adduce or point to evidence raising a triable issue that would permit a trier of fact to find by a preponderance that intentional discrimination occurred. (*See id.* at p. 1098; *see also Scotch v. The Art Inst. of Cal.-Orange Cty., Inc.* (2009) 173 Cal.App.4th 986, 1004-1005.)

In the context of an employer’s motion for summary judgment, the *McDonnell Douglas* three-stage burden shifting test for a retaliation claim is treated the same as a discrimination claim. (*Yanowitz v. L'Oreal USA, Inc.* (2005) 36 Cal.4th 1028, 1042; *see also Batarse v. Service Employees Internat. Union, Local 1000* (2012) 209 Cal.App.4th 820, 831.) An employer pursuing summary judgment may attempt to show the employee is unable to establish a prima facie case of retaliation or, alternatively, may skip to the second stage and demonstrate the employer had a legitimate business reason, unrelated to retaliation, for taking the adverse employment action. (*Batarse*, 209 Cal.App.4th at 832.)

Here, Moving Defendants meet their initial burden to show a nondiscriminatory and nonretaliatory reason for Plaintiff’s termination: frequent absenteeism and tardiness. (*See* Defs.’ Sep. St. Nos. 13, 16 [and evidence cited therein].) Plaintiff’s time sheets show she was tardy 70 times between February 14, 2022, and August 19, 2022, and the day of her discharge, she notified Defendants she was running late to work. (*See* Defs.’ Sep. St. Nos. 14-15 [and evidence cited therein].)

Plaintiff chose not to oppose the motion and, thus, does not meet her shifted burden to show a triable issue that intentional discrimination or retaliation occurred.

Second Cause of Action (Gender Harassment)

The second cause of action alleges Defendants harassed Plaintiff and/or created a hostile work environment on the basis of Plaintiff’s gender, sexual orientation and/or gender expression. (FAC ¶¶ 13, 30.)

The elements of a FEHA claim of harassment creating hostile work environment are: (i) plaintiff is a member of a protected class; (ii) plaintiff was subjected to unwelcome harassment; (iii) the harassment was based on plaintiff’s protected status; (iv) the harassment unreasonably interfered with plaintiff’s work performance by creating an intimidating, hostile, or offensive work environment; and (v) defendants are liable for the harassment. (*Ortiz v. Dameron Hospital Assn.* (2019) 37 Cal.App.5th 568, 581.) FEHA is violated when the harassment is sufficiently severe or pervasive to alter the conditions of the victim’s employment. (*Aguilar v. Avis Rent A Car System, Inc.* (1999) 21 Cal.4th 121, 129–130.)

“Whether the sexual conduct complained of is sufficiently pervasive to create a hostile or offensive work environment must be determined

from the totality of the circumstances. [Citation.] [¶] The factors that can be considered in evaluating the totality of the circumstances are: (1) the nature of the unwelcome sexual acts or works (generally, physical touching is more offensive than unwelcome verbal abuse); (2) the frequency of the offensive encounters; (3) the total number of days over which all of the offensive conduct occurs; and (4) the context in which the sexually harassing conduct occurred. [Citation.] [¶] In determining what constitutes ‘sufficiently pervasive’ harassment, the courts have held that acts of harassment cannot be occasional, isolated, sporadic, or trivial, rather the plaintiff must show a concerted pattern of harassment of a repeated, routine of a generalized nature. [Citation.]” (*Etter v. Veriflo Corp.* (1998) 67 Cal.App.4th 457, 465, citing *Fisher v. San Pedro Peninsula Hospital* (1989) 214 Cal.App.3d 590, 609-610.)

Here, the undisputed facts show Plaintiff cannot establish pervasive harassment creating a hostile or offensive work environment that unreasonably interfered with her work performance. (*See* Defs.’ Sep. St. No. 32 [and evidence cited therein].) Instead, the undisputed facts show only occasional, isolated, sporadic, or trivial incidents of sexual harassment and no unreasonable interference with work. (*See ibid.*)

Fifth Cause of Action (Failure to Prevent Discrimination, Harassment, and Retaliation)

The fifth cause of action alleges Defendants failed to prevent discrimination, harassment, and retaliation in violation of FEHA. This claim is derivative of the first, second, and third causes of action and, thus, fails for the same reasons.

Fourth Cause of Action (Whistleblower Retaliation)

The fourth cause of action alleges Defendants terminated Plaintiff for raising complaints regarding activities Plaintiff believed to be illegal, including discrimination and harassment. (Compl. ¶¶ 43-44.)

Labor Code section 1102.5 prohibits retaliation against an employee who discloses or is believed to disclose information to any person with authority to investigate the matter, any public body conducting an invitation, hearing, or inquiry. (*See* Lab. Code, § 1102.5(b)-(c).)

Here, the undisputed facts show Plaintiff cannot establish a retaliation claim, as Plaintiff did not report any harassment until after Defendants had terminated her employment. (Defs.’ Sep. St. Nos. 40-42 [and evidence cited therein].)

Sixth Cause of Action (Wrongful Termination)

The sixth cause of action alleges Defendants Ultra Personnel and INX Prints wrongfully terminated Plaintiff in violation of public policies set forth in FEHA and Labor Code section 1102.5.

To state a claim for wrongful termination in violation of public policy, a plaintiff must allege that (i) the plaintiff was employed by the defendant; (ii) the defendant discharged the plaintiff; (iii) the alleged violation of public policy was a substantial motivating reason for the plaintiff's discharge; and (iv) the discharge caused the plaintiff harm. (CACI 2430; *see also Holmes v. General Dynamics Corp.* (1993) 17 Cal.App.4th 1418, 1426.)

This claim is derivative of the first and fourth causes of action and, thus, fails on the same grounds.

Seventh Cause of Action (IED)

The seventh cause of action alleges Defendants' discriminatory, harassing, and retaliatory actions caused Plaintiff to suffer extreme emotional distress. (Compl. ¶ 68.)

To state a claim for intentional infliction of emotional distress, plaintiff must allege: (1) extreme and outrageous conduct by the defendant with the intention of causing, or reckless disregard of the probability of causing, emotional distress; (2) the plaintiff's suffering severe or extreme emotional distress; and (3) actual and proximate causation of the emotional distress by the defendant's outrageous conduct. (*Hughes v. Pair* (2009) 46 Cal.4th 1035, 1050-1051.)

"A defendant's conduct is 'outrageous' when it is so 'extreme as to exceed all bounds of that usually tolerated in a civilized community.' And the defendant's conduct must be 'intended to inflict injury or engaged in with the realization that injury will result.'" (*Id.*)

"Liability for intentional infliction of emotional distress does not extend to mere insults, indignities, threats, annoyance, petty oppressions, or other trivialities." (*Bock v. Hansen* (2014) 225 Cal.App.4th 215, 233, internal quotations omitted.) Further, that conduct must be directed at the plaintiff, or occur in the presence of a plaintiff of whom the defendant is aware, "and with knowledge of a substantial certainty that they would suffer severe emotional injury upon discovery of the facts." (*Potter v. Firestone Tire & Rubber Co.* (1993) 6 Cal.4th 965, 974, 1002 [re groundwater contamination].)

		Here, the undisputed facts show Plaintiff cannot establish any extreme and outrageous conduct by Moving Defendants (<i>see</i> Defs.’ Sep. St. Nos. 26-31 [and evidence cited therein]) or resulting severe and extreme emotional distress (<i>see</i> Defs.’ Sep. St. No. 53 [and evidence cited therein]). Moving Defendants to give notice.
11	Quick Bridge Funding, LLC vs. Overstreet Enterprises, LLC	TENTATIVE RULING: For the reasons set forth below, the unopposed motion for summary judgment by Plaintiff Quick Bridge Funding, LLC against Defendants Overstreet Enterprises, LLC d/b/a Mid-South Hobbies (“Seller”) and Aubrey Overstreet (“Guarantor”), on the first through second causes of action of Plaintiff’s complaint is GRANTED. A. Legal Standard for Motion for Summary Judgment Under Code of Civil Procedure § 437c(c), a summary judgment motion shall be granted if all the papers submitted show there is no triable issue as to any material fact and the moving party is entitled to judgment as a matter of law. A “party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact” (<i>Aguilar v. Atlantic Richfield Co.</i> (2001) 25 Cal.4th 826, 850.) “A prima facie showing is one that is sufficient to support the position of the party in question.” (<i>Id.</i> at 851.) A plaintiff moving for summary judgment satisfies his or her initial burden by showing that each element of the cause of action in question has been “proved,” and hence that there is no defense thereto. (<i>Aguilar v. Atlantic Richfield Co.</i> (2001) 25 Cal.4th 826, 850.) “Once the plaintiff ... has met that burden, the burden shifts to the defendant ... to show that a triable issue of one or more material facts exists as to that cause of action or a defense thereto. The defendant ... may not rely upon the mere allegations or denials of its pleadings to show that a triable issue of material fact exists but, instead, shall set forth the specific facts showing that a triable issue of material fact exists as to that cause of action or a defense thereto.” (Code Civ. Proc. § 437c, subd. (p)(1).) In determining whether the parties have met their respective burdens, “the court must ‘consider all of the evidence’ and ‘all’ of the ‘inferences’ reasonably drawn therefrom [citation], and must view such evidence [citations] and such inferences [citations], in the light most favorable to the opposing party.” (<i>Aguilar, supra</i>, 25 Cal.4th at

p. 843.) “There is a triable issue of material fact if, and only if, the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof.” (*Id.* at p. 850, fn. omitted.) Thus, a party “ ‘cannot avoid summary judgment by asserting facts based on mere speculation and conjecture, but instead must produce admissible evidence raising a triable issue of fact. [Citation.]’ [Citation.]” (*Dollinger DeAnza Associates v. Chicago Title Ins. Co.* (2011) 199 Cal.App.4th 1132, 1144-1145.)

B. The First and Second Causes of Action

In the first and second causes of action, Plaintiff alleges the breaches of the following agreements by Defendants Overstreet Enterprises, LLC d/b/a Mid-South Hobbies (“Seller”) and Aubrey Overstreet (“Guarantor”):

- **First Cause of Action: Breach of Contract:** Plaintiff and Seller entered into a written agreement titled Future Receivables Purchase and Sale Agreement, dated April 4, 2025, in which Seller agreed to sell, assign, and transfer a finite amount of Seller’s future receivables in the amount of \$64,499.76 in exchange for a purchase price of \$50,000 by Plaintiff (the “Agreement”). [Mvg. Decl. of Sandra Otero, ¶ 4 & Ex. 1]. Plaintiff contends that the Seller breached this agreement, with \$44,653.68 in principal due and owing. [*Id.*, ¶ 6].
- **Second Cause of Action: Breach of Guaranty:** Plaintiff and the Guarantor entered into a signed guaranty on April 4, 2025, in which the Guarantor guaranteed the Seller’s performance under the Agreement (the “Guaranty”). [Mvg. Decl. of Sandra Otero, ¶ 5 & Ex. 1 at Attachment A].

“[T]he elements of a cause of action for breach of contract are (1) the existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to the plaintiff.” (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821.) The court finds that Plaintiff has met its initial prima facie burden of establishing the elements for breach of contract for each of the agreements at issue. Plaintiff offers the following evidence in its moving papers:

- **Existence of a contract:** Plaintiff has offered sufficient evidence to establish the existence of the Agreement and Guaranty . [See SUMF ## 1-4 & Otero Decl., ¶¶ 4-5 & Ex. 1].

		• Plaintiff's performance: Plaintiff performed by depositing the money required by the Agreement into the Seller's bank account. [See SUMF ## 10, 11; Mvg. Otero Decl., ¶ 10.] • Defendants' breach: On July 31, 2025, Seller and Guarantor defaulted by instructing its bank to stop payments to Plaintiff under the Agreement. [SUMF # 5, Mvg. Otero Decl., ¶¶6-9, Exs. 2 & 3]. Plaintiff declared a breach and demanded payment from the Seller and Guarantor. [SUMF # 6, <i>Id.</i>] Despite Plaintiff's demand, Seller and Guarantor failed to pay the amounts due under Agreement and as guaranteed under Guaranty. [SUMF ##7-8, <i>Id.</i>] • Damages: The outstanding principal amount due on the Agreement at the time of the breach was \$44,653.68 [SUMF # 6, Mvg. Otero Decl., ¶¶6-9, Exs. 2-3.] The court finds that by this evidence, Plaintiff has met its prima facie burden of establishing each element of a breach of contract claim against the Seller and Guarantor under the Agreement and Guaranty. The burden, therefore, shifts to Defendants to offer sufficient evidence to create a triable issue of fact. Defendants have failed to file an opposition with any contradicting evidence to dispute Plaintiff's facts. Nor do Defendants object to the admissibility of any of Plaintiff's evidence or offer any evidence of a viable defense for their alleged breaches. As such, the court finds that the undisputed facts establish each element of the first and second causes of action of the complaint. The court, therefore, GRANTS summary judgment in Plaintiff's favor. Plaintiff to give notice.
12	Mills v. Nexgen Air Conditioning and Heating, LLC	TENTATIVE RULING: <u>Motion to Stay or Compel Arbitration</u> Defendants Nexgen Air Conditioning and Heating, LLC, and Marcus Van Valen move to stay this action pending resolution of the parties' arbitration or, in the alternative, move to compel Plaintiffs Sheryl Mills and Stephen Mills to arbitrate the claims asserted in their Complaint. For the following reasons, the motion is GRANTED in part and DENIED in part.

Over-Length Brief

The court exercises its discretion to consider only the first 15 pages of the over-length opposition brief. (Cal. Rules Ct., Rule 3.1113(d).)

Standard on Motions to Compel Arbitration

The law of this state with respect to arbitration agreements is contained in the California Arbitration Act (the “CAA”), Civil Procedure Code section 1280, *et seq.* Under the CAA, when a party to an arbitration agreement refuses to submit to arbitration, the other party may petition the court to compel arbitration and stay any pending lawsuit. (*See* Code Civ. Proc., § 1281.2; *Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 218.)

The right to arbitration depends upon contract; a petition to compel arbitration is simply a suit in equity seeking specific performance of that contract. (*Little v. Pullman* (2013) 219 Cal.App.4th 558, 565.) The petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. (*Ibid.*) In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination. (*Ibid.*)

Existence of Enforceable Arbitration Agreement

The party seeking to compel arbitration bears “the ultimate burden of proof, but the court [is] obliged to resolve the dispute using a three-step burden-shifting process.” (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755.) At the first step, “[t]he arbitration proponent must first recite verbatim, or provide a copy of, the alleged agreement. . . . At this step, a movant need not ‘follow the normal procedures of document authentication’ and need only ‘allege the existence of an agreement and support the allegation as provided in rule [3.1330].’ [Citation.]” (*Ibid.*) If the arbitration proponent meets this initial burden, the burden shifts to the party opposing arbitration “to offer admissible evidence creating a factual dispute” as to the agreement’s existence (e.g., challenging the authenticity of signatures, or that they ever signed the agreement). (*See ibid.*) “The opponent . . . must submit sufficient evidence to create a factual dispute and shift the burden back to the arbitration proponent, who

retains the ultimate burden of proving, by a preponderance of the evidence [Citation.]” (*Ibid.*)

Here, Defendants meet their initial burden by reciting verbatim the arbitration provision (Mot. at 2:9-17), but Plaintiffs meet their shifted burden to show a factual dispute as to whether the arbitration provision is enforceable, given evidence that Plaintiffs rescinded the agreements pursuant to the California Home Solicitations Sales Act (the “HSSA”) (Civ. Code, § 1689.6). (*See* Stephen Mills Decl. ¶ 5, Exs. C-D; Sheryl Mills Decl. ¶ 4.)

The HSSA provides in relevant part that:

In addition to any other right to revoke an offer, the buyer has the right to cancel a home solicitation contract written pursuant to Section 7151.2 of the Business and Professions Code [governing home improvement contracts] until midnight of the third business day . . . after the buyer receives a signed and dated copy of the contract or offer to purchase that complies with Section 1689.7 of this code.

(Civ. Code, § 1689.6(a)(2).)

Here, it is undisputed the HSSA covers the Plumbing Contract and HVAC Contract. (*See generally* Reply.) Plaintiffs submit evidence they canceled the contracts pursuant to the HSSA. (*See* Stephen Mills Decl. ¶ 5, Exs. C-D; Sheryl Mills Decl. ¶ 4.) This is sufficient to show a fact dispute regarding the enforceability of the arbitration agreement.

Defendants do not meet their ultimate burden of proving the existence of an enforceable arbitration agreement. Defendants rely on *Moncharsh v. Heily & Blase* (1992) 3 Cal.4th 1 to argue that rescission under the HSSA does not void the *arbitration provision* within the larger contract. The *Moncharsh* opinion, however, does not support Defendants’ argument. The California Supreme Court in *Moncharsh* held that when “the alleged illegality goes to only a portion of the contract (that does not include the arbitration agreement), the entire controversy, including the issue of illegality, remains arbitrable. [Citations.]” (*Moncharsh v. Heily & Blase* (1992) 3 Cal.4th 1, 30.) Because the arbitration opponent challenged the legality of only a fee-splitting provision in that case, the Supreme Court concluded that the alleged illegality did not void the arbitration clause. (*Ibid.*)

The *Moncharsh* court clarified that “[i]f a contract includes an arbitration agreement, and grounds exist to revoke the entire contract, such grounds would also vitiate the arbitration agreement.” (*Moncharsh v. Heily & Blase* (1992) 3 Cal.4th 1, 29.) “ ‘[C]ontracts that are contrary to express statutes or to the policy of express statutes . . . are illegal contracts[, and a]ny such illegality voids the entire contract. [Citation.]’ ” (*Duffens v. Valenti* (2008) 161 Cal.App.4th 434, 451, citing *Green v. Mt. Diablo Hospital Dist.* (1989) 207 Cal.App.3d 63, 73.) Therefore, a contract that is unenforceable under the HSSA precludes a party from enforcing any rights under that contract, including the right to arbitration. (*See Nordeman v. Dish Network LLC* (N.D. Cal. 2021) 525 F.Supp.3d 1080, 1087 [denying defendant’s motion to dismiss or stay case pending arbitration, where the arbitration opponents established a factual dispute as to whether the HSSA applied to the contract, which did not contain the required no right-to-rescind provision].)

Unlike the purported illegality in *Moncharsh* that affected only a discrete portion of the contract, there is evidence here of timely rescission, which would vitiate the entire agreement, including the arbitration provision.

Waiver

Irrespective of the enforceability of an arbitration agreement, a party can consent to arbitration where the party voluntarily initiates arbitration. (*See, e.g., Nghiem v. NEC Electronic* (9th Cir. 1994) 25 F.3d 1437, 1440 [finding employee had waived his right to challenge the arbitrator’s authority to decide the employee’s claims, after having voluntarily initiated the arbitration, attended the hearings with representation, presented evidence, and submitted a closing brief of fifty pages].)

“To establish waiver . . . , the party . . . must prove by clear and convincing evidence that the waiving party knew of the contractual right and intentionally relinquished or abandoned it. [Citations.] Under the clear and convincing evidence standard, the proponent of a fact must show that it is ‘highly probable’ the fact is true. [Citation.] The waiving party’s knowledge of the right may be ‘actual or constructive.’ [Citation.] Its intentional relinquishment or abandonment of the right may be proved by evidence of words expressing an intent to relinquish the right or of conduct that is so inconsistent with an intent to enforce the contractual right as to lead a reasonable fact finder to conclude that the party had abandoned it. [Citation.]” (*Quach v. California Commerce Club, Inc.* (2024) 16

	Cal.5th 562, 584 [abrogating prior case law that required in the arbitration context an additional showing of prejudice to establish waiver].) In <i>Nghiem</i>, the employee voluntarily initiated arbitration, attended hearings with representation, presented evidence at the merits hearing, and submitted a 50-page closing brief before filing suit on substantially similar claims in the state court. (<i>Id.</i> at p. 1439.) At least two courts have interpreted <i>Nghiem</i> to support that “[o]nce a claimant submits to the authority of an arbitrator and pursues arbitration, the claimant must continue in the same forum,” even if no merits hearing has yet taken place. (<i>Tomasetti v. Prudential Ins. Co. of America</i> (E.D. Cal., July 2, 1996) 1996 WL 604752, at *7 [holding that “[o]nce a claimant submits to the authority of an arbitrator and pursues arbitration, the claimant must continue in the same forum”]; see also <i>Roderick v. Mazzetti & Associates, Inc.</i> (N.D. Cal., Nov. 9, 2004) 2004 WL 2554453, at *5 [holding that “it is the initiation of arbitration, not the termination of it, which renders the arbitration process binding on the parties”].) In fact, where a plaintiff voluntarily initiates arbitration and then “seeks to change course,” “the waiver analysis is ‘significant[ly]’ ‘differen[t]’—and waiver is more likely.” (<i>Hofer v. Boladian</i> (2025) 111 Cal.App.5th 1, 17 [citing <i>Christensen v. Dewor Developments</i> (1983) 33 Cal.3d 778, 783, <i>superseded by statute on other grounds</i>].) On the other hand, limited participation while maintaining an objection to the arbitration does not waive the opponent’s objection to arbitration. (See, e.g., <i>Nagrampa v. MailCoups, Inc.</i> (9th Cir. 2006) 469 F.3d 1257, 1277-1278 [noting the plaintiff’s first act was to object to proceeding with arbitration, asserted “serious concerns” about the validity of the arbitration provision, objected to the venue and fee provisions, and participated in limited procedural issues while undertaking certain actions to preserve her rights, including the participation in a conference call that resulted in a scheduling order, an unsuccessful attempt to file a counter-demand, that was not accepted when she could not afford to pay the fee demanded by the arbitrator, and one set of discovery requests]; <i>Textile Unlimited, Inc. v. A..BMH and Co., Inc.</i> (9th Cir. 2001) 240 F.3d 781, 784, 788 [finding the plaintiff did not waive its objection to arbitration where the plaintiff had submitted a letter challenging the arbitration itself, reserved the right to challenge jurisdiction, and stated that nothing in the letter should be deemed a waiver].) Here, Plaintiffs waived any objection to the arbitration of their claims against Defendants NexGen and Van Valen. Unlike the plaintiffs in
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Nagrampa and *Textile Unlimited* that initially and consistently maintained their objection to the arbitration, Plaintiffs themselves had purported to cancel the Plumbing Contract and HVAC Contract in 2024 (*see* Mr. Mills Decl. ¶ 5, Exs. C-D; Mrs. Mills Decl. ¶ 4, Ex. F) but later voluntarily initiated the arbitration of their claims pursuant to those contracts. This shows Plaintiffs’ knowing forfeiture of their right to pursue their claims in court. The fact Plaintiffs sought to change course early in the administrative proceeding does not invalidate their waiver. Plaintiffs cite no authority providing that a waiver can be invalidated by subsequent conduct, and the court has found none. In fact, at least one court noted that “it is the initiation of the arbitration, not the [timing of the] termination of it, which renders the arbitration process binding on the parties.” (*Roderick v. Mazzetti & Associates, Inc.* (N.D. Cal., Nov. 9, 2004) 2004 WL 2554453, at *5.)

Therefore, the court finds Plaintiffs consented to arbitration of the eight claims submitted in their initial Statement of Claim and to the authority of the arbitrator.

Arbitration Procedural Rules

As the moving parties, Defendants bear the burden to justify their requested relief—including their position that the court must compel an arbitration proceeding that applies the AAA’s Construction Industry Arbitration Rules.

Defendants do not establish any valid agreement providing for the application of AAA’s Construction Industry Arbitration Rules.

The court finds Plaintiff did not consent to the application of AAA’s Construction Industry Arbitration Rules or otherwise waive their right to object to those rules. Here, Plaintiffs filed a demand for arbitration pursuant to the AAA’s “Consumer Arbitration Rules” (*see* Nelson Decl., Ex. A at pp. 1-2), attempted to invoke those consumer rules (*see id.* at ¶ 3), and consistently and expressly maintained an objection to the application of the AAA’s Construction Industry Arbitration Rules (*id.* at ¶¶ 4, 5, 7).

This court is aware of no authority permitting the court to enforce specific terms within an unenforceable arbitration agreement, where the plaintiff has generally consented to arbitration of claims but consistently maintained an objection to the specific contractual terms the defendant seeks to enforce.

		For these reasons, the court will GRANT the motion as to the eight claims submitted in Plaintiffs’ initial AAA Statement of Claim, on the ground Plaintiffs consented to the authority of the Arbitrator to adjudicate those claims. The court will DENY the motion to the extent it seeks an order compelling the application of the AAA’s Construction Industry Arbitration Rules to the parties’ arbitration proceeding. The Arbitrator SHALL employ the Arbitrator’s customary and/or standard procedure for determining the applicable procedural rules, where no arbitration agreement exists between the parties. The court hereby STAYS the action pending resolution of the arbitration. (Code Civ. Proc., § 1281.4.) The court hereby sets an ADR Review Hearing for February 23, 2027, at 9:00 a.m. in this Department. Defendants to give notice.
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